

Northgate Acquisition LLC
1400 Prairie Center Drive, Suite 210, Rockford, Illinois 61108

April 2, 2026

Mr. Ray Kowalski
Brightline Heating & Air LLC
2210 Industrial Parkway
Rockford, Illinois 61109

Re: Letter of Intent to Acquire Substantially All Assets of Brightline Heating & Air LLC

Dear Ray,

This letter sets out the principal terms on which Northgate Acquisition LLC ("Buyer"), a company owned by Dana Whitfield, proposes to acquire substantially all of the assets of Brightline Heating & Air LLC (the "Company") from you ("Seller"). Except for the paragraphs headed Exclusivity, Confidentiality and Expenses, this letter is non-binding and is intended only to guide the negotiation of a definitive asset purchase agreement.

1. Purchase Price. The total purchase price will be \$2,400,000, subject to a customary net working capital adjustment against a target of \$310,000, payable as follows:

Component	Amount	Terms
Cash at closing	\$2,110,000	Funded from an SBA 7(a) loan and Buyer's cash equity
Holdback	\$50,000	Held by Buyer's counsel, released at month six upon settlement of the net working capital true-up
Seller Note A	\$120,000	Full standby for the life of the SBA loan, 6% interest accruing, counts toward Buyer's equity injection
Seller Note B	\$120,000	Performance note, two year standby then 36 monthly installments, principal adjusted to trailing revenue at month 24
Total	\$2,400,000	

2. Financing. Buyer intends to finance the acquisition with an SBA 7(a) loan of approximately \$1,920,000 from Harbor Federal Bank, cash equity of \$240,000, and the two seller notes described above. Buyer's obligation to close will be conditioned on receipt of that financing on terms reasonably acceptable to Buyer.

3. Transition. Seller will enter into a consulting agreement for twelve months following closing at \$6,000 per month for up to 20 hours per month, including a scheduled program of introductions to the Company's principal commercial customers.

4. Key Employees. Buyer intends to offer retention bonuses to the Company's service manager, lead technician and office manager, payable in three annual tranches on the anniversaries of closing, conditioned on continued employment.

5. Target Closing. The parties will work toward a closing on or about July 15, 2026.

6. Exclusivity. For 75 days from the date Seller countersigns this letter, Seller will not solicit or negotiate any offer for the Company or its assets from any other party.

7. Confidentiality. The terms of this letter and all information exchanged in diligence are confidential and subject to the mutual non-disclosure agreement dated February 11, 2026.

8. Expenses. Each party will bear its own costs, except that Buyer will pay the SBA guarantee fee and the lender's closing costs.

If these terms are acceptable, please countersign below.

Sincerely,

Northgate Acquisition LLC

By: /s/ Dana Whitfield

Name: Dana Whitfield

Title: Managing Member

Accepted and agreed as of April 6, 2026:

Brightline Heating & Air LLC

By: /s/ Ray Kowalski

Name: Ray Kowalski

Title: Sole Member